

Question #1 of 36

Question ID: 1586075

Wonderful Manufacturing has implemented a change in its pension plan, that will increase the future benefits for all of its current employees. Which of the following is the *most likely* effect on the company's financial statements of this change in promised benefits under current U.S. GAAP standards?

- A) The net pension liability will increase immediately by the projected increase in pension benefits due to employees. 
- B) The pension expense for the next reporting period will increase by the projected increase in pension benefits due to employees. 
- C) The firm's prior financial statements will be adjusted to reflect the increase in benefits. 

Explanation

A plan amendment will result in an immediate increase in the PBO. Under current U.S. accounting standards, an increase in PBO will result in an increase in the net pension liability (decrease in funded status).

(Module 9.2, LOS 9.e)

Question #2 of 36

Question ID: 1586048

A company is reporting a tax windfall arising from a share-based compensation plan. Which of the following is *least accurate*?

- A) The company would report a higher net income under U.S. GAAP. 
- B) The company would take the gain directly to equity under IFRS. 
- C) The company would report a lower tax expense in the income statement under IFRS. 

Explanation

Tax windfalls (shortfalls) are reported directly to equity under IFRS. Under U.S. GAAP, tax windfalls (shortfalls) reduce (increase) tax expense in the income statement.

(Module 9.1, LOS 9.b)

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Question ID: 1586058

Which of the following is *NOT* an advantage of share based compensation over cash compensation?

- A) Share based compensation does not require a cash outlay. 
- B) Share based compensation serves to align employee interest with the interests of stockholders. 
- C) In a share based compensation plan, expense is not recognized, unless the exercise price is set below the market price. 

Explanation

Share based compensation needs to be recognized at fair value under both U.S. GAAP and IFRS. Intrinsic value does not matter. However, the expense does not require a cash outlay and serves to align the interests of employees and stockholders.

(Module 9.1, LOS 9.b)

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Question ID: 1586060

Which of the following statements about the methods of valuing employee stock options is *least* accurate?

- A) Compensation expense is allocated in the income statement for the period between the grant date and the vesting date. 
- B) Once the options are in-the-money, compensation expense is recognized on the income statement. 
- C) The offset to compensation expense recognized is an increase in share-based compensation reserve. 

Explanation

Compensation expense is based on the fair value of the option on the grant date. The vesting date is the first date the employee can actually exercise the option. The compensation is allocated in the income statement over the service period (which is the time between the grant date and the vesting date).

For any compensation expense recognized, the offset is share-based compensation reserve, which is a stockholders' equity account.

(Module 9.1, LOS 9.b)

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Question ID: 1586045

Which of the following statements about share-based compensation is *most accurate*?

- A) The fair value of an option is expensed when the option is in-the-money. 
- B) Only the intrinsic value of an option is shown as an expense in the income statement. 
- C) The compensation expense is amortized over the vesting period in the income statement. 

Explanation

Compensation expense is based on the fair value of the options on the grant date. The compensation expense is then allocated straight line (i.e., amortized in equal installments) in the income statement over the vesting period, which is the time between the grant date and the vesting date.

(Module 9.1, LOS 9.b)

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Question ID: 1586064

The actuarial present value of all future pension benefits earned to date, based on expected future salary increases, is called the:

- A) pension liability. 
- B) projected benefit obligation (PBO). 
- C) total projected pension cost. 

Explanation

The PBO is the actuarial present value (at an assumed discount rate) of all future pension benefits earned to date, *based on expected future salary increases*. It measures the value of the obligation, assuming the firm is a going concern and that the employees will continue to work for the firm until they retire. Pension cost is periodic and not total projected. Pension liability is the net amount of PBO and fair value of plan assets.

(Module 9.2, LOS 9.d)

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Question ID: 1586067

Federal Companies' reports under U.S. GAAP included the following information in the footnotes to its most recent financial statements:

Beginning Projected Benefit Obligation (PBO)	\$65,000,000
Beginning FV of Plan Assets	60,000,000
Service Cost	27,000,000
Interest Cost	3,000,000
Unamortized Actuarial Losses (Start of the Year)	5,000,000
Actual Return on Plan Assets	7,500,000
Expected Return on Plan Assets	8,500,000

Given the information above, calculate Federal's total periodic pension cost for the year.

A) \$41,000,000.00



B) \$21,500,000.00



C) \$27,500,000.00



Explanation

Periodic pension cost = service cost + interest cost – expected return on plan assets

Therefore, $\$27,000,000 + 3,000,000 - 8,500,000 = \$21,500,000$

Since the unamortized actuarial loss is less than 10% of beginning PBO, no amortization is needed.

(Module 9.2, LOS 9.d)

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Question ID: 1586056

The number of potentially dilutive securities for the stock grant at the end of 20X1 is *closest* to:

A) 25,000.



B) 16,667.



C) 21,078.



Explanation

Cash proceeds = \$0.

Unrecognized compensation expense at the beginning of the year = 0 (plan just started)

Unrecognized compensation expense at the end of the first year = $400,000 - 133,333 = \$266,667$

Average unrecognized share-based compensation expense = $(266,667 + 0)/2 = 133,333$

Assumed proceeds = $0 + 133,333 = 66,667$

Number of treasury shares = assumed proceeds / average share price during the reporting period.

= $66,667 / 17 = 3,921$ shares

Dilutive shares = $25,000 - 3,922 = 21,078$ shares

(Module 9.1, LOS 9.b)

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Question ID: 1586061

Which of the following statements about stock appreciation rights, performance stock, and RSUs is *most* accurate?

- A) Phantom stock payoffs are based on the performance of the firm's actual shares. 
- B) Performance stock cannot be sold by the employee until vesting has occurred. 
- C) Stock appreciation rights never have any dilution effect on the existing shareholders. 

Explanation

Stock appreciation rights do not cause dilution to the existing shareholders since no shares are actually issued.

Performance stock is a type of stock grant. It is contingent on meeting performance goals such as accounting earnings or other financial reporting metrics like return on assets or return on equity. Unfortunately, tying performance to accounting earnings and other metrics may result in manipulation by the employee. With restricted stock, the transferred stock cannot be sold by the employee until vesting has occurred.

Phantom stock is similar to stock appreciation rights except the payoff is based on the performance of hypothetical stock instead of the firm's actual shares.

(Module 9.1, LOS 9.b)

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Question ID: 1586047

For a stock grant, from the company's perspective, a tax windfall is *most likely* to result when the:

- A) stock price at settlement was higher than the stock price on the grant date. 
- B) intrinsic value at settlement was lower than the fair value on the grant date. 
- C) stock price at settlement was lower than the stock price on the grant date. 

Explanation

Tax deduction for stock grant = share price on settlement date x number of shares vested

If the stock price on the settlement date is higher than the price on the grant date, there would be a higher tax deduction than the cumulative compensation expense reported, resulting in a tax windfall or excess tax benefit.

(Module 9.1, LOS 9.b)

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Question ID: 1586059

In determining the fair value of employee stock options, which of the following statements is *most* appropriate?

- A) A higher than expected dividend yield will decrease the estimated fair value. 
- B) Absent a market-based instrument, U.S. GAAP and IFRS prefer firms to use the Black-Scholes option-pricing model. 
- C) Changes in fair value after the grant date is taken directly to equity. 

Explanation

Dividends paid out reduce the value of the underlying shares and therefore, reduce the value of the option.

There is no preference of a specific option-pricing model in either IFRS or U.S. GAAP. Acceptable models should be consistent with sound economic principles, consistent with fair value measurement requirements, and reflect all substantive elements of the grant.

Fair value is only estimated on the grant date; subsequent changes in fair value are not considered.

(Module 9.1, LOS 9.b)

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Question ID: 1586071

An analyst views the assumptions made by a company reporting under U.S. GAAP regarding its pension liabilities as unrealistic, and thinks the discount rate and expected rate of return should both be increased. The *most likely* effect of increasing the discount rate and expected rate of return on the pension benefit obligation (PBO) is:

	<u>Discount rate</u>	<u>Expected rate of return</u>	
A) No effect	Decrease		✗
B) Decrease	No effect		✓
C) Increase	Decrease		✗

Explanation

The PBO will decrease because a higher discount rate will cause the present value of the future obligations to decline. There will be no effect from changing the expected rate of return because expected return relates to the pension expense, not to the size of the obligation.

(Module 9.2, LOS 9.d)

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Question ID: 1586043

Which type of compensation is *most likely* to increase current liability for a company?

- A) Stock-option grants. ✗
- B) Stock grants. ✗
- C) Salary and wages. ✓

Explanation

Unpaid earned salary and wages would be shown as a current liability. Options and stock grants do not result in a liability.

(Module 9.1, LOS 9.a)

Prisma Inc. started an employee stock option and RSU grant plan. On Jan 1, 20X1, the company made a grant of 150,000 at-the-money options (maturing in five years) and 25,000 shares. The fair value of the options was \$1.79 and the stock price on the date of the grant was \$16. Both awards vest after 3 years. The average stock price during the year was \$17 and it was \$17.50 at the end of the year.

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Question ID: 1586050

The expense reported for 20X1 is *closest* to:

A) \$187,033.



B) \$222,833.



C) \$133,333.



Explanation

Value of the options on grant date = $1.79 \times 150,000 = \$268,500$

Value of stock grant = $16 \times 25,000 = \$400,000$

Both are amortized straight line over the 3-year vesting period.

Expense = $(268,500 + 400,000) / 3 = \$222,833$ per year

(Module 9.1, LOS 9.b)

Question #15 - 18 of 36

Question ID: 1586051

The cash outflow reported on account of share-based compensation is:

A) \$133,333.



B) \$0.



C) \$222,833.



Explanation

Option and stock grants have zero cash-flow implications (they are non-cash grants).

(Module 9.1, LOS 9.b)

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Question ID: 1586052

The change in stock-holder's equity at the end of 20X1 on account of the share-based compensation is *closest* to:

A) \$133,333.



B) \$0.



C) \$222,833.



Explanation

The compensation expense reduces net income and hence retained earnings. An identical amount is taken to compensation reserve account in equity and hence there is zero net change in equity.

(Module 9.1, LOS 9.b)

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Question ID: 1586053

For this question only, assume that the stock price on the settlement date is \$18.50. This will *most likely* result in a(n):

A) tax shortfall.



B) extraordinary loss.



C) tax windfall.



Explanation

If the stock price on the settlement date (\$18.50) is greater than the price on the grant date (\$16), it will result in a tax windfall as a higher expense would be deductible for tax purposes.

(Module 9.1, LOS 9.b)

Question #18 - 18 of 36

Question ID: 1586054

For this question only, suppose that Prisma reports a net loss for 20X1. Which of the following statements is *most accurate*?

A) Unvested options that are out-of-the-money are considered dilutive.



B) Under the treasury method, the number of hypothetically repurchased shares is based on the share price at the end of the reporting period.



C) Prisma's basic EPS and fully diluted EPS would be the same.



Explanation

If a company reports net loss, basic EPS and fully diluted EPS would be the same (i.e., dilutive securities = 0). The treasury stock method nets the number of hypothetically repurchased shares against the total number of potentially dilutive securities. Unvested options that are in-the-money are considered dilutive. The number of hypothetically repurchased shares is based on the average share price during the reporting period.

(Module 9.1, LOS 9.b)

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Question ID: 1586062

For forecasting the dilution from future grants of share-based compensation and its effects on valuation, which of the following approaches is *least appropriate*?

- A) Add share-based compensation expense estimates to free cash flow estimates and increase the number of shares outstanding based on the same estimates. 
- B) Deduct share-based compensation expense from estimates of free cash flows and ignore dilution. 
- C) Discount the estimated value of equity by a dilution factor. 

Explanation

Free cash flows are already estimated by adding share-based compensation, so adding them again would be incorrect. The dilution from future grants can be addressed by discounting the estimated value of equity by a *dilution factor* or by estimating an increase in the number of shares outstanding. Alternatively, we can just deduct share-based compensation expense from estimates of free cash flows and not worry about forecasting dilutive shares.

(Module 9.1, LOS 9.c)

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Question ID: 1586068

Under U.S. GAAP, capitalized periodic pension costs included in the value of ending inventory is *most likely*:

- A) to be amortized over the service lives of employees. 
- B) not allowed. 
- C) to be expensed as part of cost of goods sold when the inventory is sold. 

Explanation

Pension costs included in the cost of production of goods (e.g., labor costs included in the value of work-in-process or finished goods) may be capitalized as part of valuation of ending inventory. When this inventory is eventually sold, such costs are expensed as a component of cost of goods sold.

(Module 9.2, LOS 9.d)

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Question ID: 1586073

In order to *decrease* the projected benefit obligation (PBO) of a pension plan, which of the following changes in pension assumptions can be made to yield the desired result?

- A) Increase the expected rate of return.
- B) Decrease the discount rate.
- C) Decrease the rate of compensation growth.



Explanation

A decrease in the rate of compensation growth will lower future pension payments and in turn, lower the PBO.

(Module 9.2, LOS 9.d)

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Question ID: 1586074

Wes Livingston is the founder and CEO of Bigwell Corporation. Livingston is interested in Bigwell being acquired by a larger competitor and wants to have his company's financial statements appear as attractive as possible to a potential suitor. In order to decrease the projected benefit obligation (PBO) of the company's pension plan, which of the following changes in actuarial assumptions could be made?

- A) Decrease the discount rate.
- B) Increase the rate of compensation growth.
- C) Increase the discount rate.



Explanation

Increasing the assumed discount rate of a pension plan will result in lower projected benefit obligation (PBO). Increasing rate of compensation growth and decreasing discount rate would increase the PBO.

(Module 9.2, LOS 9.e)

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Question ID: 1586070

Fly-By-Night Airlines is a U.S. company planning to change its pension plan so that it can reduce its costs. It is considering reducing its defined benefit percentage from 10% to 5% of ending salary, retroactive for 10 years. In addition, since the firm is anticipating substantially reduced salary increases in the future, it is planning to reduce its compensation growth rate assumption. From a pension accounting perspective, the change in the:

- A) Benefit percentage is a past service cost that will be amortized into and thus increase pension expense over the remaining service lives of its employees. 
- B) Benefit percentage is a change in actuarial assumption that will be recognized in full in current period pension expense. 
- C) Compensation growth rate assumption is a change in actuarial assumption that will reduce the defined benefit obligation and future pension expense. 

Explanation

The change in the compensation growth rate assumption is a change in actuarial assumption that will reduce the defined benefit obligation and future pension expense, as the effect is amortized into pension expense over time. In this question, the change is a reduction in both the defined benefit obligation and pension expense.

The change in the contribution percentage is not a change in actuarial assumption but a plan amendment (which would be reflected as negative past service cost and either amortized under US GAAP or expensed in full under IFRS).

Amortization of negative past service cost (applicable only under US GAAP) would decrease, not increase, pension expense over the remaining service lives of its employees.

(Module 9.2, LOS 9.d)

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Question ID: 1586066

Which of the following statements regarding pension accounting is *most* accurate?

- A) A reconciliation between the funded status and the net pension asset (liability) reported on the balance is required. 
- B) Changes in actuarial assumptions and past service costs fully and immediately affect the income statement. 
- C) Changes in the projected benefit obligation (PBO) and plan assets fully and immediately affect the balance sheet. 

Explanation

Changes in the projected benefit obligation (PBO) and plan assets immediately affect the funded status (difference in PBO and plan assets) and the full amount of the changes is reflected on the balance sheet when the change occurs.

Changes in actuarial assumptions and past service costs are recognized in the income statement over time under U.S. GAAP. Under IFRS, vested past service costs are recognized immediately and changes in actuarial assumptions are called re-measurements, which are taken to OCI and not amortized.

Since the funded status is equal to the net pension asset (liability) reported on the balance sheet under no reconciliation is required.

(Module 9.2, LOS 9.d)

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Question ID: 1586069

A company reporting under U.S. GAAP reduced the discount rate for its pension obligation from 10% to 8%, reduced the expected long-term rate of return on the assets in its pension plan from 8% to 6%, and changed its compensation growth rate assumption from 4% to 5%. What is the *most likely* impact of these changes on the current year ending defined benefit obligation and pension expense?

- A) The reduction in the discount rate will decrease the defined benefit obligation and will increase reported pension expense. 
- B) The decrease in the long-term rate of return on plan assets will decrease reported pension expense. 
- C) The decrease in the long-term rate of return will have no impact on the defined benefit obligation and will increase reported pension expense. 

Explanation

The decrease in the expected long-term rate of return on plan assets from 8% to 6% will have no effect on the defined benefit obligation (after all, it is an obligation and not an asset). The reduction will, however, increase reported pension expense for current and future periods because the expected return is subtracted while computing pension expense.

The reduction in the discount rate from 10% to 8% will increase (not decrease) the defined benefit obligation and will also increase reported pension expense because it will increase the current service cost. Additionally, the actuarial gains and losses resulting from this change (the difference between the defined benefit obligation after the increase and the defined benefit obligation before the increase) will be amortized into pension expense over time using the corridor approach. Amortization will start in the period after the change is made.

The decrease in the expected long-term rate of return on its plan assets from 8% to 6% will increase, not decrease, reported pension expense. Expected return reduces pension expense.

(Module 9.2, LOS 9.d)

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Question ID: 1586063

The projected benefit obligation (PBO) is defined as the:

- A) actuarial present value of all future pension benefits earned to date based on expected future salary increases. 
- B) actuarial present value of all future pension benefits earned to date and based on current salary levels. 
- C) actuarial future value of all post-retirement healthcare benefits earned to date. 

Explanation

The projected benefit obligation (PBO) is defined as the actuarial present value of all future pension benefits earned to date based on expected future salary increases.

(Module 9.2, LOS 9.d)

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Question ID: 1586046

A company wants to start a stock option grant for their senior executives. The *most likely* impact on the company after the grant is that the leverage would be:

- A) lower. 
- B) unchanged. 

C) higher.



Explanation

Share-based compensation does not affect debt levels, nor does it change the shareholder's equity. Compensation expense reduces net income (and retained earnings) but would increase compensation expense reserve – leading to no net change in equity.

(Module 9.1, LOS 9.b)

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Question ID: 1586044

The period at the end of which the employee is unconditionally entitled to a compensation is called the:

A) vesting date.



B) settlement date.



C) entitlement date.



Explanation

The vesting date is the date the employee earns (or becomes unconditionally entitled to) the compensation.

(Module 9.1, LOS 9.a)

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Question ID: 1586057

Jon Horton, CFA, is the Chief Financial Officer (CFO) for Springtown Corporation, a manufacturer of windows for residential and commercial applications. As part of an ongoing diversification strategy, Springtown Corp. has recently entered into a preliminary agreement to purchase all of the assets of Prime Doors, a manufacturer and distributor of doors to the same residential and commercial market in which Springtown sells its windows. Horton is head of the due diligence team that will fully evaluate Prime Doors' financial statements prior to the proposed acquisition.

Prime Doors has been in operation for thirty years, and currently has approximately 800 employees at two operating facilities. Horton observes in the notes to the financial statements that Prime Doors has a defined benefit pension plan, for which all employees are eligible. Employees are vested at the rate of 20% per year of employment, and are fully vested upon completion of five years of employment. Springtown does not offer a pension plan to its employees, but encourages employees to contribute to Individual Retirement Accounts (IRAs) and offers a 401(k) program.

Horton wants to fully evaluate the financial implications of Springtown's assumption of Prime Doors' pension assets and the associated future liabilities and expenses. Like most companies, the pension plan for Prime Doors' employees is not fully funded, but Horton wants to review all assumptions used by Prime Doors' accountants in the valuation of the plan's current liabilities. The most current information regarding the pension plans is as follows:

Select Pension Plan Information for Prime Doors (as of 12/31/05)	
Projected benefit obligation (PBO)	\$15,500,000
Accumulated benefit obligation (ABO)	\$13,750,000
Market value of plan assets	\$11,875,000

Horton notices a paragraph in the pension plan footnotes that the original pension plan was amended last year, effectively increasing the level of benefits to be paid to employees with more than ten years of service. However, he is not able to detect what effect, if any, this change in projected benefits has had on Prime Doors' financial statements or is expected to have in the future.

Horton is aware that a commonly used method can be used to adjust the income statement and provide a better measure of Prime Doors' economic pension cost than reported pension expense. He is not quite sure which components of the financial statements are utilized to derive an adjusted pension expense, but intends to investigate what analysis he can perform to gain more insight into the company's position with regards to its pension plan.

What effect will an increased discount rate and increased expected rate of return have on a company's projected benefit obligation (PBO) and fair value of plan assets (FVPL) as reflected in the financial statements?

- A) Both will decrease.
- B) Both will increase.
- C) Only one will decrease.



Explanation

The use of a higher discount rate will decrease a company's PBO. The expected rate of return has no impact on pension obligations or the fair value of plan assets.

(Module 9.1, LOS 9.b)

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Question ID: 1586055

The number of potentially dilutive securities for the option grant at the end of 20X1 is *closest* to:

- A) 50,000.
- B) 3,559.
- C) 100,000.



Explanation

Cash proceeds = number of options x exercise price = 150,000 x 16 = \$2,400,000

Unrecognized compensation expense at the beginning of the year = 0 (plan just started)

Unrecognized compensation expense at the end of the first year = 268,500 – 89,500 = \$179,000

Average unrecognized share-based compensation expense = (179,000 + 0)/2 = \$89,500

Assumed proceeds = 2,400,000 + 89,500 = 2,489,500

Number of treasury shares = assumed proceeds / average share price during the reporting period

= 2,489,500 / 17 = 146,441

Dilutive shares = 150,000 – 146,441 = 3,559

(Module 9.1, LOS 9.b)

Question #31 of 36

Question ID: 1586065

Which of the following statements regarding the projected benefit obligation (PBO) and the value of the pension plan assets is *most* accurate?

- A) If the PBO and the plan assets are the same, then nothing needs to be reported on the balance sheet. 
- B) Plan amendments during the year generally result in a decrease of the PBO at the end of the year. 
- C) The fair value of plan assets is increased by the amount of the expected return on assets. 

Explanation

Neither the PBO nor the plan assets are separately reported on the balance sheet. The funded status is the difference in the PBO and the plan assets. If the PBO exceeds the plan assets, the difference is reported as a liability. If the plan assets exceed the PBO, the difference is reported as an asset. If the amounts are the same, then neither a liability nor asset needs to be reported.

Plan amendments (i.e. additional benefits provided that increase the amount of the employer's obligation to plan participants) generally result in an *increase* of the PBO.

The fair value of plan assets at the beginning of the period is increased by the *actual* return on plan assets as well as any employer contributions. It is reduced by the amount of benefits paid.

(Module 9.2, LOS 9.d)

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Question ID: 1586072

Tim Gresham, CFO of Alpha Logistics is concerned about changes in the business environment which could lead to Alpha violating some of the covenants of their outstanding debentures. Specifically Gresham is concerned about leverage and profitability ratios. Gresham reviews Alpha's most recent financial statements and decides that changing the assumptions for the company's defined benefit pension plan may provide some relief in the short-run. Alpha reports under U.S. GAAP.

Which of the following changes in the pension plan's assumptions would *most likely* lead to lower reported leverage and higher reported profitability?

- A) Increasing the discount rate. 
- B) Increasing expected return on plan assets. 

C) Increasing the growth rate in compensation expense.



Explanation

Increasing discount rate leads to lower present values and reduces reported pension liability in the balance sheet and also reduces pension expense by reducing the service cost component. Increasing expected return on plan assets does reduce pension expense but does not affect reported assets or liabilities. Increasing the growth rate in compensation expense increases service cost as well as reported pension liability.

(Module 9.2, LOS 9.d)

Paul Roberts, CPA, is a partner in Roberts & Smith, an accounting firm that is located in Chicago. The firm has recently been retained by Midwest Manufacturing, a major producer of heavy machinery and tractor parts in the U.S. Midwest has been in operation since 1965, and currently has approximately 700 full-time employees. The company had its initial public offering in 1986. The company has hired Roberts's firm to ensure that the accounting for Midwest's employee pension plan is fully in compliance U.S. GAAP standards.

Selected year-end pension plan information for Midwest Manufacturing

	2006	2007
PBO	\$21 million	\$23 million
Discount Rate	6.0%	7.5%
Rate of Compensation Increase	4.0%	4.0%
Benefits paid	\$0.8m	\$1m
Interest cost		\$1.6m
Service cost		\$3m

Roberts will educate Midwest's accounting department on pension plan accounting that would be relevant to their situation.

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Question ID: 1586077

As of January 1st, 2007, the fair value of plan assets was \$19 million. Which three components are necessary to calculate the fair value of the plan assets at the end of the year?

A) actual return on assets, employer contributions, and benefits paid.



B) service cost, interest cost, and benefits paid.



- C) expected return on plan assets, employer and participant contributions, and benefits paid.



Explanation

Companies are required to disclose a reconciliation of the beginning and ending balances of the fair value of plan assets, which can be calculated as follows:

Fair value of plan assets at the beginning of the year
+ Actual return on assets
+ Employer contributions
– Benefits paid
= Fair value of plan assets at the end of the year

(Module 9.2, LOS 9.e)

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Question ID: 1586078

Current U.S. GAAP pension accounting standards require public companies to report which of the following in the balance sheet?

- A) The expected return on plan assets.
- B) The pension liability adjusted for unrecognized items.
- C) The funded status of the plan.



Explanation

The current standard requires companies to report the funded status of the plan, which is the difference between the PBO and the fair value of plan assets.

(Module 9.2, LOS 9.e)

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Question ID: 1586079

As of December 31st, 2007, the fair value of plan assets was \$21 million. For this question only, assume that the sum of the unrecognized prior service cost and the unrecognized actuarial losses equals \$1.5 million. Calculate the amount attributable to Midwest's pension plan as of December 31st, 2007 that must be reported on the balance sheet under U.S. GAAP.

A) \$2.0 million.



B) -\$2.0 million.



C) -\$500,000.



Explanation

The funded status is the difference between the PBO and the fair value of plan assets as of the reporting date. For Midwest's plan, $\$21,000,000 - 23,000,000 = -\$2,000,000$. PBO figure is already given – and it includes all unrecognized items (and hence need not be adjusted).

(Module 9.2, LOS 9.e)

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Question ID: 1586080

Which of the following statements regarding the U.S. GAAP pension accounting standards is *most* accurate?

The balance sheet will now reflect the true economic position of the pension
A) plan, but the income statement will not necessarily reflect a true measure of
economic pension expense.



B) For most companies, the pension liability will increase while financial leverage
may increase or decrease as a result of applying the standard.



C) The changes in GAAP now cause U.S. standards to be consistent with the
International Financial Reporting Standards (IFRS) for pension plans.



Explanation

Because deferred and unrecognized items are required to be reported on the balance sheet but not the income statement, the balance sheet will reflect the true economic position of the pension plan, but the income statement will not necessarily reflect a true measure of economic pension expense. U.S. GAAP and IFRS still differ with respect to reporting pension expense.

(Module 9.2, LOS 9.e)